

ECONOMICS PAPER 1

(Mock Test 42)

Time allowed: 1 hour

INSTRUCTIONS

1. Read carefully the instructions on the Answer Sheet. After the announcement of the start of the examination, you should first stick a barcode label and insert the information required in the spaces provided. No extra time will be given for sticking on the barcode label after the 'Time is up' announcement.
2. When told to open this book, you should check that all the questions are there. Look for the words '**END OF PAPER**' after the last question.
3. All questions carry equal marks.
4. **ANSWER ALL QUESTIONS.** You are advised to use an HB pencil to mark all the answers on the Answer Sheet, so that wrong answers can be completely erased with a clean rubber. You must mark the answers clearly; otherwise you will lose marks if the answers cannot be captured.
5. You should mark only **ONE** answer for each question. If you mark more than one answer, you will receive **NO MARKS** for that question.
6. No marks will be deducted for wrong answers.

Not to be taken away before the end of the examination session

There are 45 questions in this paper. Choose the **BEST** answer for each question.

1. Macy is a university student who is planning how to spend her summer holiday. She has several options and her order of preference is shown below:

First option: to travel to Europe
Second option: to work as a private Economics tutor
Third option: to work part-time in a fast-food shop

Which of the following factors would **LEAST** likely affect Macy's cost-benefit analysis for her choice?

- A. A tourist attraction in Europe that Macy longs to visit is temporarily closed for maintenance.
B. Benefits for part-time workers at the fast-food shop are reduced.
C. The working hours for working part-time at the fast-food shop become more flexible.
D. The tutoring student gets along very well with Macy.
2. Which of the following cases are related to the problem of 'how to produce'?
- (1) A technology company locates its data centre in a country with lower electricity costs.
(2) A hospital hires more non-local doctors to provide medical services.
(3) An education center offers English phonics classes for children.
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

3. Refer to the following information about three firms in Hong Kong.

	Firm A	Firm B	Firm C
Legal entity	Yes	Yes	No
Disclosure of financial information to the public	required	NOT required	NOT required

Based on the above information, which of the following statements about the firms is **CORRECT**?

- A. Firm A has better continuity than firm B and firm C.
B. Firm C has the fewest owners among the three firms.
C. The profits tax rate paid by firm C is lower than that of firm A and firm B.
D. The owners of the three firms are required to obtain consent from the other owners when transferring their ownership.
4. In 2024, a total of 16 listed companies announced privatisation and cancelled their listing status on the Hong Kong Stock Exchange.

Which of the following statements is **CORRECT**?

- A. These companies cannot own assets under their names after privatisation.
B. The size of these companies will decrease.
C. The risk of these companies being taken over will increase.
D. The liquidity of the shares of these companies will become lower.

5. A technology company provides ‘artificial intelligence (AI) image generation service’ for free. Users can upload photos to its platform, which will convert these photos into cartoon-style images. The service has been very popular since its launch, and some users have complained that they often have to wait for several minutes to receive their results due to the system being busy.

Based on the above information, the AI image generation service is _____ because _____.

- A. a free good ... people do not have to pay to use the service
 - B. an economic good ... people’s demand for the service is greater than the supply
 - C. a private good ... the service is rival in consumption
 - D. a consumer good ... scarce resources are used in providing the service
6. In a newspaper company, different reporters specialise in covering different types of news. For example, some reporters cover sports news, while others cover financial news.

Compared to an arrangement in which each reporter covering all types of news, which of the following are the benefits of the above arrangement?

- (1) The time required for reporters to write each article will be reduced since practice makes perfect.
 - (2) The time required to train junior reporters to master relevant knowledge will be reduced.
 - (3) The tools required for writing articles will be reduced, such as requiring fewer personal computers.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)
7. In 2025, the HKSAR Government has implemented the ‘Greater Bay Area (GBA) Youth Employment Scheme - Arrangements for Mainland Youth to Work in Hong Kong’. Enterprises which have participated in the scheme and employed Hong Kong young persons to work in the GBA Mainland cities may apply for the same number of Mainland young persons to work in Hong Kong. Mainland young persons admitted into Hong Kong for employment under the Arrangements will normally be granted permission to stay in Hong Kong with a period of 18 months on employment condition, or the duration of the employment contract (whichever is shorter).

Based on the above information, the above arrangement will most likely lead to

- A. an increase in Hong Kong’s labour supply.
 - B. an increase in Hong Kong’s labour productivity.
 - C. an increase in the geographical mobility of Mainland young persons.
 - D. an increase in the occupational mobility of Hong Kong young persons.
8. The contract of a professional football player with his team includes the following terms:

Basic salary: US\$5 million Appearance bonus: US\$200,000 per match
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From the viewpoint of the team, which of the following is most likely the reason for adopting the above wage payment method instead of a basic salary only?

- A. The cost of measuring player contribution will be lower.
- B. This can transfer the risk of player injury to the player.
- C. The player’s income will be higher.
- D. The cost of the team calculating the salary will be lower.

9. Mr. Cheung runs a restaurant in Mong Kok serving 'Rice with two sides' (「兩餸飯」). He is considering whether to expand the kitchen of the existing restaurant to increase the number of meal boxes produced each day, or to open a new branch in another district.

Based on the above information, which of the following is a possible reason for Mr. Cheung to choose to expand the kitchen scale of the existing restaurant instead of opening a new branch?

- A. A greater degree of division of labour can be practised in the same kitchen to reduce the average cost of production.
- B. Mr. Cheung will receive discounts for purchasing more ingredients.
- C. The restaurant can spread the transportation costs over a larger quantity of output and enjoy external economies of scale.
- D. Business risks can be diversified.

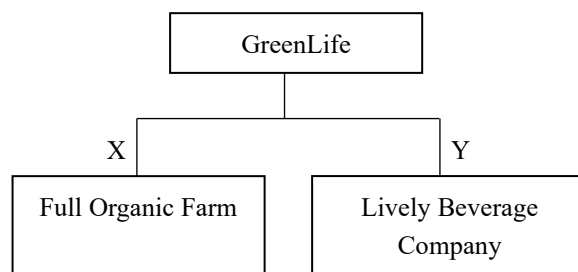
10. The table below shows the cost-output relationship of a price-taking firm.

Output (units)	2	3	4	5	6
Average cost (\$)	4	5	6	7	8

After the increase in the marginal cost per unit of output, the profit-maximising output level decreases from 5 units to 3 units. The marginal cost per unit of output has increased by _____ and the profit will _____.

- A. \$2 ... increase by \$2
- B. \$4 ... increase by \$14
- C. \$2 ... decrease by \$2
- D. \$4 ... decrease by \$14

11. GreenLife is a company that produces organic food. Recently, it acquired two companies as illustrated in the following diagram:



Full Organic Farm is a farm that provides organic ingredients while Lively Beverage Company is a health beverage company. To GreenLife, the types of integration shown by X and Y are _____ integration and _____ integration respectively.

- A. vertical backward ... lateral
- B. vertical backward ... vertical forward
- C. lateral ... vertical forward
- D. lateral ... lateral

12. The underground railway in a city is often full during peak hours and passengers have to wait for multiple trains before they can board. Which of the following events would shorten the waiting time for passengers?

- (1) The government increases bus fare concessions for the elderly.
- (2) The underground railway company increases the train frequency.
- (3) The underground railway company provides fare concessions during non-peak hours.

- A. (1) only
- B. (2) only
- C. (1) and (2) only
- D. (1), (2) and (3)

13. The table below shows the quantities of high-quality and average-quality fruits sold before and after a decrease in the transportation cost.

	High-quality fruits (units)	Average-quality fruits sold (units)
Before the decrease in the transportation cost	40	60
After the decrease in the transportation cost	Q_1	Q_2

Suppose people's preference for fruits does not change. Which of the following figures is/are **INCONSISTENT** with the law of demand?

- (1) $Q_1 = 50$; $Q_2 = 75$
- (2) $Q_1 = 50$; $Q_2 = 80$
- (3) $Q_1 = 60$; $Q_2 = 84$

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

14. The demand curve for good X is downward-sloping and its supply is perfectly inelastic. In which of the following cases must the equilibrium quantity of good X increase and the equilibrium price decrease?

- A. The demand for good X decreases and at the same time its supply increases.
- B. The demand for good X increases and at the same time its supply decreases.
- C. The demand for and supply of good X increase at the same time.
- D. The demand for and supply of good X decrease at the same time.

15. Suppose the demand for good Y is inelastic. In which of the following cases will an increase in the price of good X lead to an increase in the total revenue of good Y?

- (1) Good X and good Y are in joint demand.
- (2) Good X and good Y are in competitive supply.
- (3) Good X and good Y are in joint supply.

- A. (1) only
- B. (2) only
- C. (3) only
- D. (1) and (3) only

16. In which of the following cases will consumers' total expenditure on good X increase?

- (1) The price of raw materials used to produce good X increases and the demand for good X is inelastic.
 - (2) The government increases the effective quota for good X and the demand for good X is elastic.
 - (3) The government imposes a per-unit tax on a substitute of good X and the demand for good X is unitarily elastic.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

17. Refer to the following market demand and supply schedules of good X.

Unit price (\$)	Quantity demanded (units)	Quantity supplied (units)
10	30	24
12	28	24
14	26	24
16	24	24
18	22	24
20	20	24

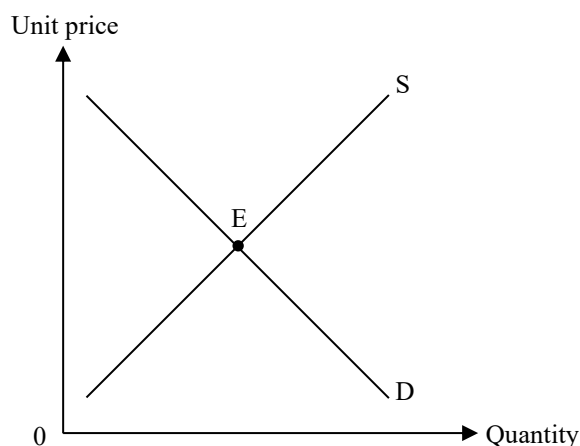
Which of the following statements about good X is **CORRECT**?

- A. If the government imposes a per-unit tax of \$2 on good X, the quantity transacted will decrease by 2 units.
- B. If the government sets a price floor on good X at \$14, there will be an excess demand.
- C. If the government sets a price ceiling on good X at \$14, consumers' total expenditure on good X will be \$364.
- D. If the government provides a per-unit subsidy of \$2 for good X, producers' total revenue (including the subsidy) will be \$432.

18. Hong Kong's banking industry is most likely an example of _____ because _____.

- A. monopolistic competition ... Hong Kong has more than 100 licensed banks
- B. monopolistic competition ... banks provide heterogeneous services
- C. oligopoly ... it is costly to open a bank
- D. oligopoly ... a few banks have significantly higher revenue than the others

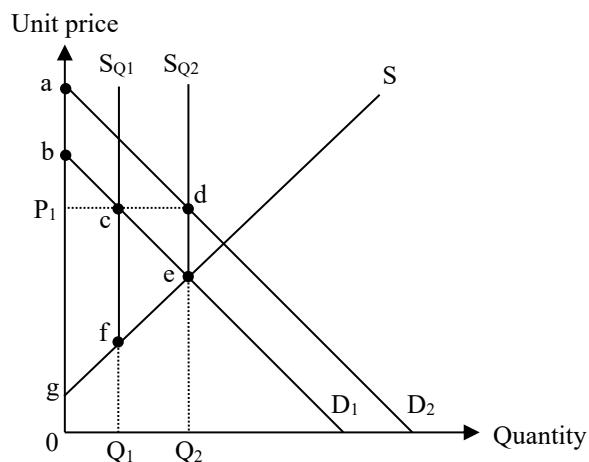
19. Refer to the following demand-supply diagram for good X. The initial equilibrium point is E.



Suppose the government imposes a per-unit tax on good X. The marginal benefit of the last unit of good X will _____, while the marginal cost of the last unit of good X will _____.

- A. increase ... increase
- B. increase ... decrease
- C. decrease ... increase
- D. decrease ... decrease

20. Refer to the following demand-supply diagram for good X. Initially, the quota is set at Q_1 .

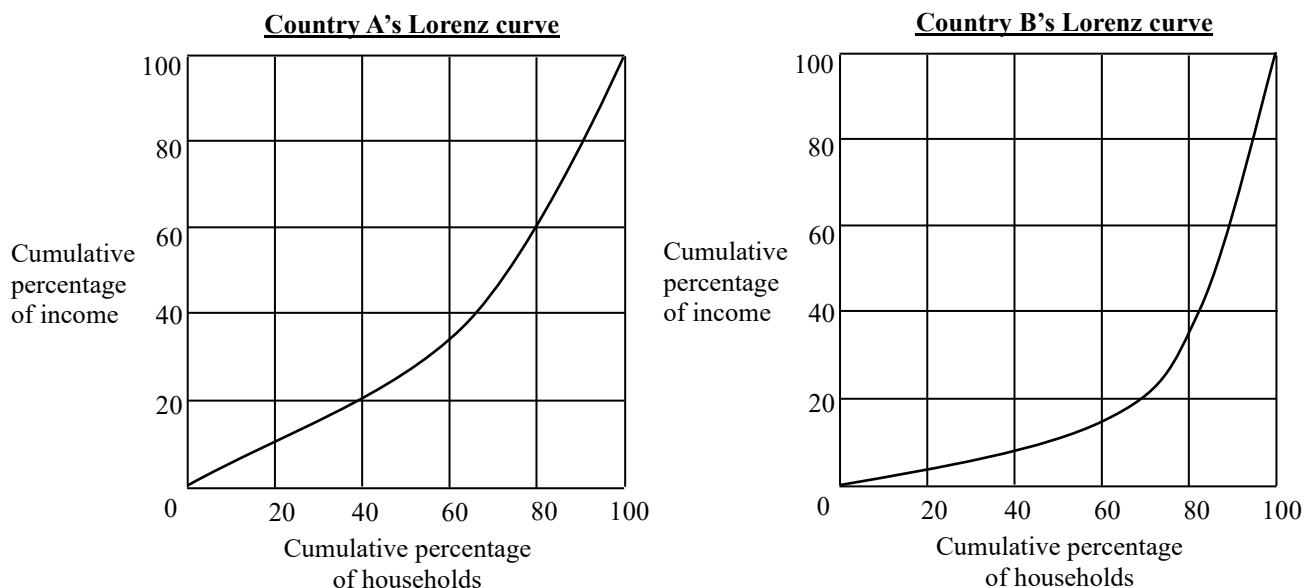


When the demand for good X increases from D_1 to D_2 and the quota changes from Q_1 to Q_2 , the price remains at P_1 . Which of the following statements about the above situation is **CORRECT**?

- A. There is no deadweight loss in the market for good X.
- B. Consumer surplus increases by area bcP_1 .
- C. Producer surplus increases by area $cdef$.
- D. There is an excess supply of $(Q_2 - Q_1)$ in the market for good X.

21. Which of the following is an example of a divergence between private and social benefits?
- A coffee shop customer uses the free Wi-Fi in the shop to browse social media.
 - A resident was annoyed by pollution caused by feral pigeons. After the government strengthened the enforcement of the ban on feeding feral pigeons, the pollution issue improved.
 - A passerby enjoys a free street art performance in the West Kowloon Cultural District without making a donation.
 - A university student improves his academic performance after reading books borrowed from the university library.

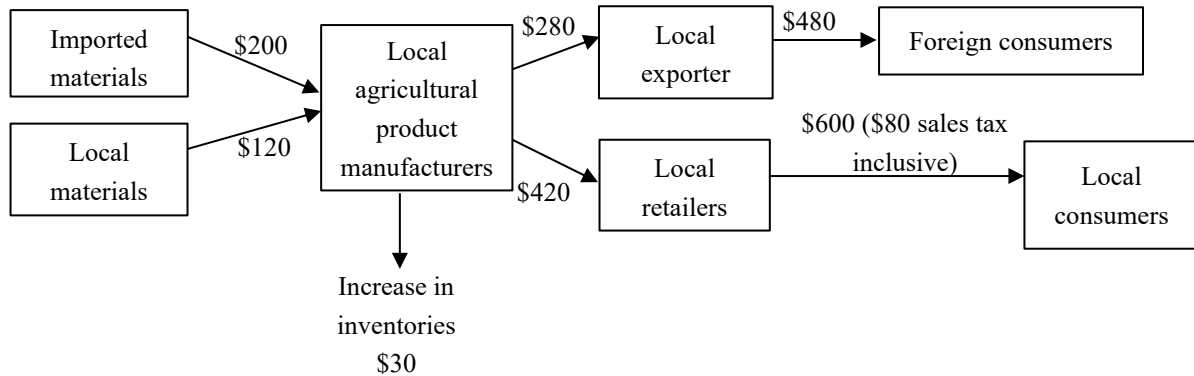
22. The following diagram shows the Lorenz curves of Country A and Country B.



Suppose the total household incomes in the two countries are equal. Based on the above information, which of the following statements about the two countries are **CORRECT**?

- Country A has a lower Gini coefficient than Country B.
 - The bottom 40% of households in Country A earn a higher income than the bottom 60% of households in Country B.
 - The top 20% of households in Country A earn a higher proportion of the country's total income than that of Country B.
- (1) and (2) only
 - (1) and (3) only
 - (2) and (3) only
 - (1), (2) and (3)
23. Which of the following best explains why income inequality among freelance photographers in Hong Kong tends to be greater than that among bus drivers?
- The average working hours of freelance photographers are shorter.
 - There are greater differences in creativity and skill level among freelance photographers.
 - The supply of freelance photographers is more elastic.
 - The market demand for freelance photographers is smaller.

24. The following diagram shows a production chain of agricultural products in Country A.



The contribution of the above production chain to Country A's GDP at factor cost is _____.

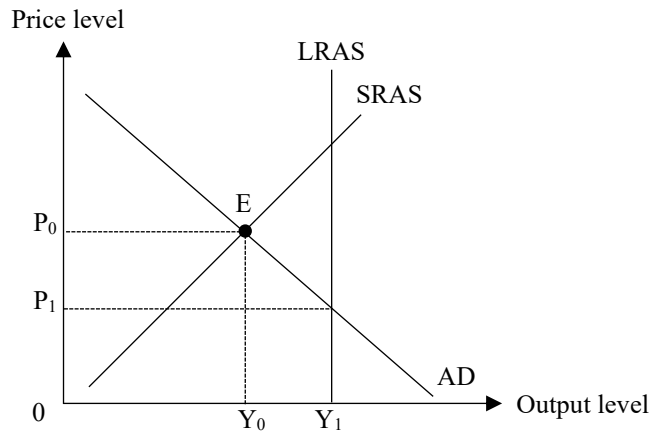
- A. \$800
 - B. \$830
 - C. \$990
 - D. \$1,030
25. To calculate Hong Kong's gross national income (GNI), which of the following should be added to Hong Kong's gross domestic product (GDP)?
- A. the dividends received by a Japanese resident from a listed company in Hong Kong
 - B. the salary earned by an American working in a bank in Hong Kong for six months
 - C. the rent received by a Hong Kong resident from a property in the United Kingdom
 - D. the salary earned by a Hong Kong engineer working in a Korean company for three years
26. The following table shows some data of an economy in a certain year.

	\$ million
Subsidies	20
Direct taxes	15
Indirect taxes	8
Net exports of services	40
Total exports of goods	105
Total imports of goods	180
Re-exports of goods	45
Net factor income from abroad	-25

Which of the following statements about the economy are **CORRECT**?

- (1) GDP at market prices is smaller than GDP at factor cost.
 - (2) Net exports is positive.
 - (3) GNI is smaller than GDP.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

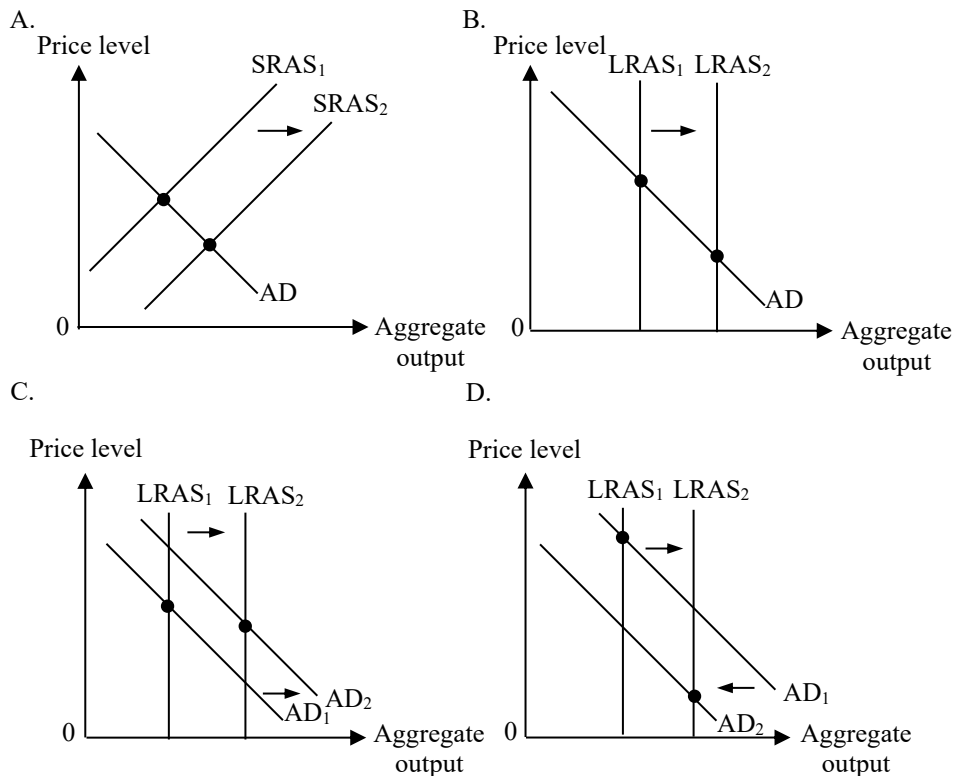
27. Which of the following would **MOST** likely help an economy narrow the inflationary (output) gap?
- A. The government provides production subsidies to firms, and the trading partner of the economy experiences an economic recovery.
 - B. Labour cost increases, and the government reduces its spending on national defense.
 - C. The technological level of production increases, and people have an increased preference for imported consumer goods.
 - D. Firms suspend their production due to a typhoon, and firms buy more inventories.
28. The diagram below shows the aggregate demand curve, short run aggregate supply curve and long run aggregate supply curve for an economy. The economy initially operates at E.



If people's desire to save increases,

- A. the output level will be higher than Y_0 in the short run.
- B. the price level will be higher than P_0 in the short run.
- C. the output level will be equal to Y_0 in the long run.
- D. the price level will be lower than P_1 in the long run.

29. Suppose that the government increases its subsidies for research and development to firms. Which of the following diagrams best describes the effect of the above event?



30. A major economic crisis in Country A has led to a significant depreciation of its currency. As a result, people have started bartering or trading using US dollars. Many people withdraw their bank deposits and convert them into US dollars. Which of the following statements are **CORRECT**?

- (1) The function of Country A's currency as a medium of exchange is weakened.
- (2) The US dollar serves the function of money as a store of value.
- (3) The US dollar is the legal tender of Country A.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

31. Suppose the public withdraw \$100 million from the banking system and remit the amount overseas. After the deposit contraction process is completed, the deposits in the banking system decrease by \$400 million. We can conclude that

- A. the monetary base decreases by \$400 million.
- B. the money supply decreases by \$500 million.
- C. the required reserve ratio is 25%.
- D. the loans decrease by \$300 million.

32. Refer to the following balance sheet of the banking system of an economy. The required reserves of the banking system are \$200.

Assets (\$)		Liabilities (\$)	
Reserves	300	Deposits	800
Loans	500		

Suppose the central bank lowers the required reserve ratio by 5 percentage points. If the banking system is fully loaned up and there is no cash leakage, which of the following shows its final balance sheet after the deposit creation/contraction process is completed?

A.

Assets (\$)		Liabilities (\$)	
Reserves	160	Deposits	800
Loans	640		

B.

Assets (\$)		Liabilities (\$)	
Reserves	200	Deposits	1,000
Loans	800		

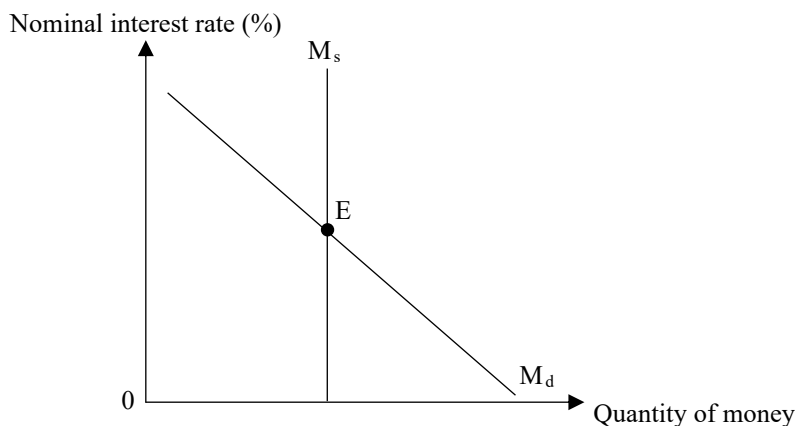
C.

Assets (\$)		Liabilities (\$)	
Reserves	300	Deposits	1,200
Loans	900		

D.

Assets (\$)		Liabilities (\$)	
Reserves	300	Deposits	1,500
Loans	1,200		

33. The diagram below shows the money supply curve (M_s) and money demand curve (M_d) of an economy. Suppose the initial equilibrium point is at E.



Suppose people are more concerned about bond defaults and the government increases the amount of government bonds it buys from the public each month. In this case, the nominal interest rate _____, and the quantity of money _____.

- A. will increase ... will increase
- B. will increase ... will decrease
- C. may increase or decrease ... will increase
- D. may increase or decrease ... will decrease

34. Which of the following statements about inflation is **CORRECT**?

- A. During inflation, the prices of all goods and services will increase.
- B. If the government distributes cash to all citizens in a certain year, inflation will increase.
- C. When people expect inflation to occur, they prefer to hold real assets rather than cash.
- D. Inflation will redistribute wealth from debtors to lenders if it is unanticipated.

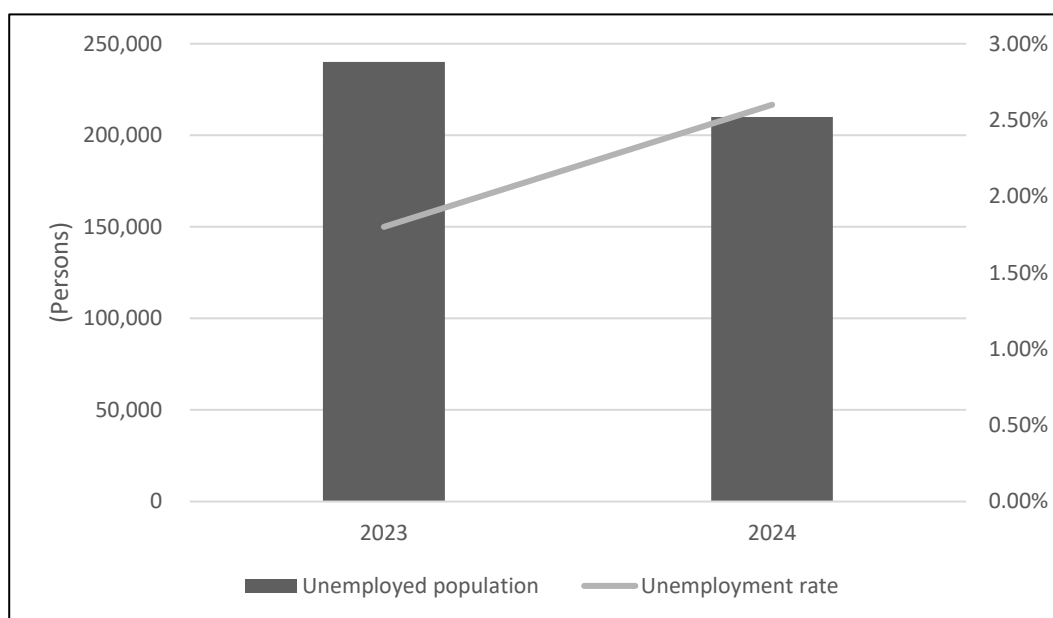
35. Suppose the nominal interest rate of a one-year bond is 3% and the expected inflation rate is 1%. If the actual inflation rate turns out to be 4%, the actual real interest rate and the real rate of return on holding cash will be _____ and _____ respectively.

- A. -1% ... -1%
- B. -1% ... -4%
- C. 2% ... -1%
- D. 2% ... -4%

36. According to the quantity theory of money, if the money supply of an economy decreases by 5%,

- A. the price level will decrease by 5%.
- B. the nominal output will decrease by 5%.
- C. the real output will decrease by less than 5%.
- D. the government's income tax revenue will decrease by 5%.

37. Refer to the following diagram.



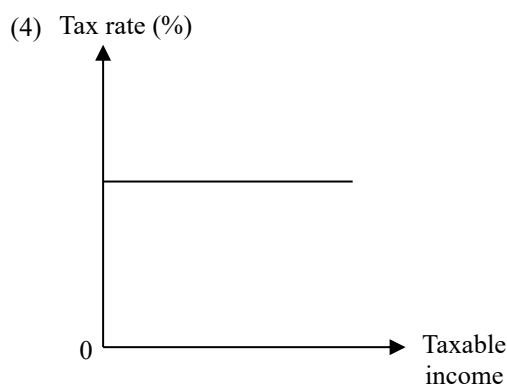
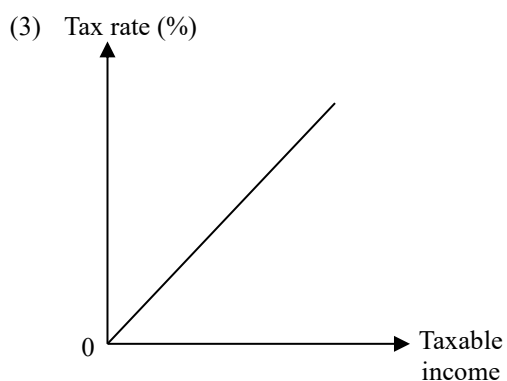
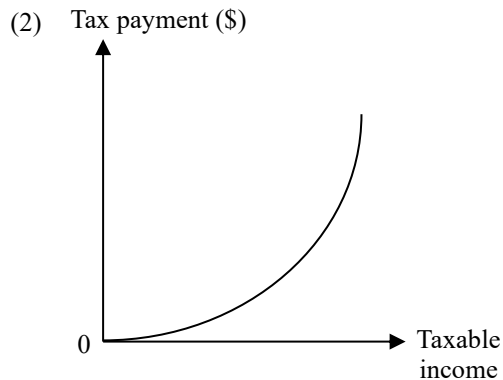
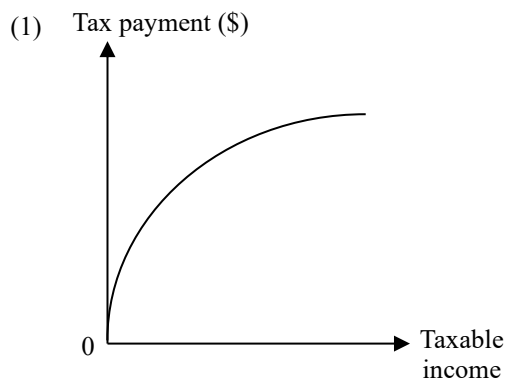
Which of the following is **MOST** likely to cause the above change in the unemployment data of Country A?

- A. More people quit their jobs and search for jobs in other regions. Some of their positions remain unfilled.
- B. The government raises the statutory minimum wage level.
- C. The government lowers the requirements for companies to apply for the importation of foreign workers.
- D. The government reduces assistance to the unemployed.

38. Which of the following may lead to a rise in the economy's price level and make the income distribution in the economy more even at the same time?

- A. The government raises the standard tax rate of the salaries tax.
- B. The government imposes a tariff on all imported consumer goods.
- C. The government tightens the requirements for receiving unemployment benefits.
- D. The government distributes \$10,000 in cash to all households.

39. Which of the following diagrams shows a progressive tax?



- A. (1) and (3) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (2) and (4) only

40. If the government of a country increases taxes on households to fund its expenditure, and the increase in taxes equals the increase in government expenditure, the aggregate demand of the country _____.

- A. will increase
- B. will decrease
- C. will remain unchanged
- D. may increase, decrease or remain unchanged

41. Which of the following is/are contractionary monetary policy/policies?

- (1) The People's Bank of China raises the required reserve ratio.
- (2) The Bank of China issues bonds denominated in Renminbi.
- (3) The Ministry of Finance of the People's Republic of China provides cash subsidies to consumers to buy home appliances.

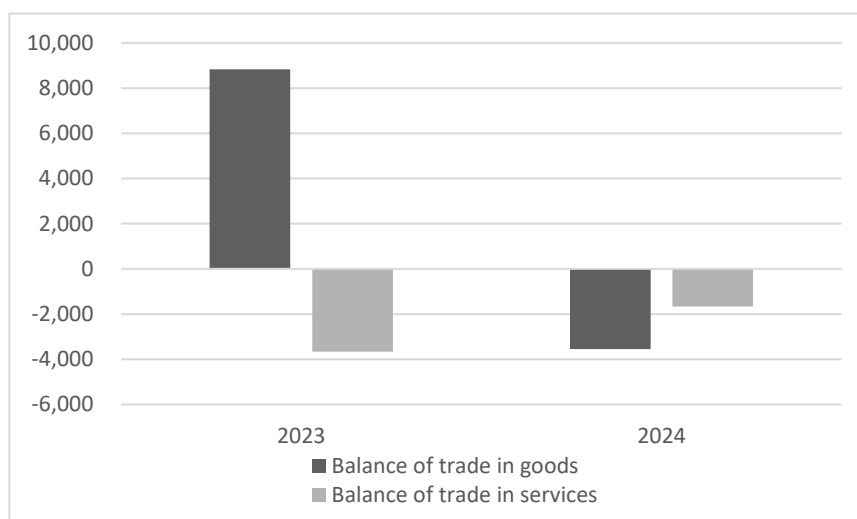
- A. (1) only
- B. (3) only
- C. (1) and (2) only
- D. (2) and (3) only

42. The following table shows the labour requirement for the production of good X and good Y in Country A and Country B respectively.

	1 unit of good X	1 unit of good Y
Country A	2 man-hours	3 man-hours
Country B	0.4 man-hours	1.2 man-hours

Suppose the transportation cost for 1 unit of good Y is 1 unit of good X and it is borne equally by both countries. Which of the following is a mutually beneficial terms of trade between Country A and Country B?

- (1) 1 unit of good X = 0.4 units of good Y
 (2) 1 unit of good X = 0.45 units of good Y
 (3) 1 unit of good X = 2.25 units of good Y
- A. (1) only
 B. (2) only
 C. (3) only
 D. (1) and (2) only
43. A small open economy has imposed a per-unit tariff on imported good X. Suppose the international price of good X decreases. Which of the following statements are **CORRECT**?
- (1) The domestic production of good X will decrease.
 (2) The government's tariff revenue will increase.
 (3) The total value of imports of good X net of tax will increase.
- A. (1) and (2) only
 B. (1) and (3) only
 C. (2) and (3) only
 D. (1), (2) and (3)
44. Refer to the following information about the balance of payments of an economy in a certain year.



According to the above information, we can conclude that

- A. there was a current account surplus in 2023 and a current account deficit in 2024.
 B. exports of goods in 2024 were lower than those in 2023.
 C. imports of goods in 2024 were higher than those in 2023.
 D. exports of services were smaller than imports of services in both 2023 and 2024.

45. Under the linked exchange rate system in Hong Kong, which of the following statements is **CORRECT**?

- A. The non-bank public can sell their Hong Kong dollars to the Hong Kong Monetary Authority in exchange for US dollars at the linked exchange rate.
- B. The money supply M3 of Hong Kong is fully backed by the US dollar.
- C. A trade deficit in the United States will lead to a trade deficit in Hong Kong.
- D. When the US dollar depreciates against other currencies, the number of tourists from those currency zones visiting Hong Kong will increase.

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